Yadong in Tibet (Chumbi Valley), which had been the customary trade mart for centuries. Hence, Qian's idea was to offer recognition of the status quo in Sikkim in this indirect manner in exchange for the direct resumption of border trade. It is possible that the Chinese felt, after Prime Minister Vajpayee had raised the matter with Premier Zhu Rongji, that India was anxious to make progress and might agree if China offered the 1954 'Tibet formula' again. Subsequently, in the Foreign Minister level talks, Tang Jiaxuan spoke of a 'process', and suggested that both sides establish a mechanism at the official level to work out the details. [20] The proposal for a mechanism was particularly troublesome, because this would enable the Chinese to extract the maximum concessions without conceding their core position. It would have been difficult for India to come out of formal negotiation without results. Walking out of a negotiation was not an option. It was a repeat of tactics that the Chinese had followed with India at the time of diplomatic recognition.

The professionals in the Ministry of External Affairs cautioned Jaswant Singh about the Chinese intentions. Jaswant Singh was impatient and, perhaps, felt that his advisors were being over-cautious. In his memoirs, he described this evocatively as 'the official advice of caution; one step at a time or perhaps half a linguistic pirouette.' [21] In reality it was anything but a dance step. The advice took into account the lessons learned from the experience of India–China negotiations over Tibet in 1954. It is also important to look at Chinese behaviour when it concerned China's own sovereignty and territorial integrity. The People's Republic of China had not exercised sovereignty over the island of Taiwan for a single minute of a single day since they had founded the new government in Peking on 1 October 1949. Yet all foreign governments desiring to have a relationship with Beijing had to